Project report

RattanIndia Power Limited: cost sheet of power generation, FY 2025-26 (with FY 2024-25 comparatives)

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1. About the company

RattanIndia Power Limited is a listed company that owns and operates a 1,350 MW (5 x 270 MW) coal-based thermal power plant at Amravati, Maharashtra. The plant has been in commercial operation since March 2015, sits on about 1,350 acres of land leased from MIDC and can generate up to 11,826 million units (MU) a year.

1,200 MW of the capacity is contracted to the Maharashtra State Electricity Distribution Company Ltd (MSEDCL) under a 25-year power purchase agreement (PPA), awarded through competitive bidding (PPAs signed in 2010) at a levellised tariff of ₹3.26 per kWh. The balance is sold on the Indian Energy Exchange (IEX). Coal is supplied by South Eastern Coalfields Ltd (SECL) under a fuel supply agreement for 6.10 million tonnes a year, and the plant has a water allocation of 60 million cubic metres from the Upper Wardha Dam.

2. Why this company

The company is a pure-play thermal generator with a single operating asset, so its standalone accounts describe one plant. Its main revenue and input terms are fixed by long-term agreements: a PPA for most of its output and a fuel supply agreement for coal. With operating data disclosed in the annual report and BRSR, it is one of the few listed businesses where a reasonably complete cost sheet can be built from public information alone.

3. Approach

- **Sources:** standalone financial statements, notes, Board's report and BRSR from the FY 2025-26 and FY 2024-25 annual reports, and the company website for the PPA tariff. Every input is listed with its page reference in the Appendix.
- **Format:** a conventional cost sheet (prime cost, works cost, cost of production, cost of sales). Finance charges are excluded from cost and shown in the profit reconciliation statement.
- **Cost unit:** one kWh of net power sent out. Per-unit figures are ₹ crore ÷ MU x 10.
- **Working notes:** WN 1 derives units generated and sent out; WN 2 splits employee cost between the plant and the offices.
- **Check:** a profit reconciliation statement ties the cost sheet to profit before tax as per the audited accounts for both years.
- **Tools:** Excel for the workbook, NotebookLM for reading the annual reports and background research, and Claude for review and drafting support.

4. Key operating data

Particulars	Unit	FY 2025-26	FY 2024-25	Source
Installed capacity (5 x 270 MW)	MW	1,350	1,350	AR26 p.29
Plant Availability Factor (PAF)	%	87.88%	82.12%	AR26 p.28 / AR25 p.32
Plant Load Factor (PLF)	%	82.10%	78.46%	AR26 p.28 / AR25 p.32
Auxiliary consumption	%	7.74%	7.90%	AR26 p.80
Gross station heat rate	kcal/kWh	2,374	2,380	AR26 p.80
Units sold to MSEDCL under PPA	MU	8,935.86	8,516.52	AR26 p.28 / AR25 p.31
Units sold on power exchange (IEX)	MU	22.19	29.46	AR26 p.28 / AR25 p.32

PAF improved from 82.12% to 87.88% and PLF from 78.46% to 82.10%, so the same 1,350 MW produced about 430 MU more power in FY 2025-26. Auxiliary consumption and heat rate also improved slightly.

5. Working Note 1: Power generated and sold

Sl	Particulars	Unit	FY 2025-26	FY 2024-25
1	Installed capacity	MW	1,350	1,350
2	Hours in the year	Hours	8,760	8,760
3	Maximum possible generation	MU	11,826.00	11,826.00
4	Plant Load Factor (PLF)	%	82.10%	78.46%
5	**Gross generation**	**MU**	**9,709.15**	**9,278.68**
6	Auxiliary consumption	%	7.74%	7.90%
7	Less: auxiliary consumption	MU	751.49	733.02
8	**Net units sent out**	**MU**	**8,957.66**	**8,545.66**
9	Units sold (PPA + IEX), for reference	MU	8,958.05	8,545.98

Interpretation: Gross generation rose from 9,278.68 MU to 9,709.15 MU on the back of higher PLF. About 7.7% of gross generation is consumed by the plant itself (auxiliary consumption) and never reaches the grid, so cost per unit is measured on net units sent out (8,957.66 MU in FY 2025-26). Net units sent out match reported units sold within 0.4 MU in both years.

6. Working Note 2: Allocation of employee cost

Sl	Particulars	Unit	FY 2025-26	FY 2024-25
	A. Headcount and median pay (BRSR)			
a	Employees (other than BoD and KMP): male	No.	423	406
b	median pay	₹	5,49,996	5,74,385
c	Employees (other than BoD and KMP): female	No.	23	21
d	median pay	₹	4,09,839	3,00,000
e	Workers: male	No.	81	81
f	median wages	₹	2,70,168	2,34,168
g	Workers: female	No.	13	13
h	median wages	₹	2,63,688	2,21,688
	B. Allocation of employee cost			
1	Total employee cost (Note 29)	₹ Cr	69.10	63.04
2	Less: KMP and director remuneration	₹ Cr	12.63	10.91
3	Balance employee cost	₹ Cr	56.47	52.13
4	Workers' wage weight (e x f + g x h)	₹ Cr	2.53	2.18
5	Employees' wage weight (a x b + c x d)	₹ Cr	24.21	23.95
6	Workers' share of balance, all at plant (4 ÷ (4 + 5))	%	9.47%	8.36%
7	Plant share of balance (6 + (1 - 6) x plant share of employees)	%	86.42%	86.25%
8	Plant portion of balance (3 x 7)	₹ Cr	48.80	44.96
9	**Add: Station Head remuneration (whole-time director, at plant)**	**₹ Cr**	**0.41**	**-**
10	**Employee cost: plant (to works overheads) (8 + 9)**	**₹ Cr**	**49.21**	**44.96**
11	Employee cost: offices and KMP (to administration) (1 - 10)	₹ Cr	19.89	18.08

Interpretation: The accounts report one employee cost figure for plant and offices together. KMP and director pay goes to administration, except the Station Head's, who runs the plant. The balance is split using BRSR headcount and median pay: workers are all at the plant, and 85% of other employees are assumed to be at the plant, since the company has one plant and two offices. On this basis about ₹49 Cr (71%) of employee cost is a plant cost and ₹20 Cr is administration.

7. Cost sheet

RattanIndia Power Ltd, Amravati plant (1,350 MW). Standalone, ₹ crore and ₹ per kWh of net units sent out. Finance charges are excluded, as they are not part of the cost of generation (CAS-4).

Particulars	FY 2025-26 ₹ Cr	₹/kWh	FY 2024-25 ₹ Cr	₹/kWh
Direct materials				
Coal consumed	2,257.03	2.520	2,366.52	2.769
Fuel oil, chemicals and consumables	15.05	0.017	15.91	0.019
Direct expenses				
Water	40.96	0.046	42.69	0.050
Start-up / import power	1.57	0.002	1.47	0.002
Fly ash disposal	15.97	0.018	19.24	0.023
Prime cost	**2,330.58**	**2.602**	**2,445.83**	**2.862**
Add: Works overheads				
Plant employee cost (WN 2)	49.21	0.055	44.96	0.053
Operation and maintenance	90.81	0.101	86.95	0.102
Repairs: plant and machinery	6.30	0.007	33.17	0.039
Depreciation and amortisation	252.26	0.282	246.68	0.289
Insurance	19.74	0.022	13.21	0.015
Security	7.77	0.009	6.98	0.008
Rates and taxes	8.54	0.010	7.41	0.009
Works cost (cost of generation)	**2,765.21**	**3.087**	**2,885.19**	**3.376**
Add: Administration overheads				
Employee cost: offices and KMP (WN 2)	19.89	0.022	18.08	0.021
Legal, professional, travel, office and other admin expenses	51.38	0.057	42.42	0.050
Cost of production	**2,836.48**	**3.167**	**2,945.69**	**3.447**
Add: Selling and distribution overheads				
Selling and distribution (none disclosed)	-	-	-	-
Cost of sales	**2,836.48**	**3.167**	**2,945.69**	**3.447**
Sales				
PPA sales to MSEDCL	2,974.98	3.321	3,260.83	3.816
IEX sales	16.38	0.018	23.00	0.027
Total sales	**2,991.36**	**3.339**	**3,283.83**	**3.843**
Operating profit on generation (sales less cost of sales)	**154.88**	**0.173**	**338.14**	**0.396**

Interpretation: It cost ₹3.17 to generate and deliver a unit of power in FY 2025-26 against sales of ₹3.34 per unit, leaving an operating profit of ₹0.17 per unit (₹154.88 Cr) before finance charges. Coal alone is ₹2.52 per unit, or 79.6% of cost of sales, and depreciation ₹0.28 (8.9%). All other costs together make up about 12%.

Note: FY 2025-26 sales include ₹172.26 Cr of change-in-law claims for earlier periods accepted by MSEDCL, including late payment surcharge (AR26 p.218). Excluding this one-off, sales would be about ₹2,819 Cr (₹3.15/kWh) and generation would be roughly break-even, an operating loss of about ₹17 Cr.

Year-on-year movement per unit

Per unit (₹/kWh)	FY 2024-25	FY 2025-26	Change
Coal consumed	2.769	2.520	(0.250)
Repairs: plant and machinery	0.039	0.007	(0.032)
Depreciation and amortisation	0.289	0.282	(0.007)
Cost of sales	**3.447**	**3.167**	**(0.280)**

Per unit (₹/kWh)	FY 2024-25	FY 2025-26	Change
Total sales	**3.843**	**3.339**	**(0.503)**
Operating profit on generation	**0.396**	**0.173**	**(0.223)**
Finance charges (outside cost, see reconciliation)	0.560	0.515	(0.045)

Interpretation: Cost of sales per unit fell by ₹0.28, mainly because coal cost per unit fell by ₹0.25 and plant repairs were lower after the FY 2024-25 overhaul. Higher PLF also spread fixed costs over more units. Realisation per unit fell further, by ₹0.50, so operating profit per unit dropped from ₹0.40 to ₹0.17. The energy (variable) charge under the PPA is linked to fuel cost, so lower fuel cost also means lower revenue: MSEDCL's variable charge for the Amravati plant fell from ₹2.90/kWh in March 2025 to ₹2.38/kWh in March 2026 (Mahagenco monthly fuel data).

8. Profit reconciliation statement

Particulars	FY 2025-26	FY 2024-25
Operating profit on generation (as per cost sheet)	154.88	338.14
Less: Finance charges (not part of cost)	(461.41)	(478.76)
Add: Other income	391.39	393.45
Less: Impairment provision and CSR (not part of cost)	(38.27)	(36.86)
Profit before tax as per cost sheet	**46.59**	**215.97**
Profit before tax as per accounts	46.59	215.97
Difference	-	-

Interpretation: Generation earned an operating profit of ₹154.88 Cr, but finance charges of ₹461.41 Cr (₹0.52 per unit) more than wiped it out. The company reports a profit before tax only because of ₹391 Cr of other income, most of it late payment surcharge (₹308.88 Cr) on overdue dues from MSEDCL. The plant covers its operating cost; the problem is the cost of its funding.

9. Sensitivity to plant load factor

Particulars	₹ Cr	₹/kWh
Variable cost	2,330.58	2.602
Fixed cost	505.90	0.565
Cost of sales	**2,836.48**	**3.167**
Sales	2,991.36	3.339
Contribution (sales less variable cost)	**660.78**	**0.738**
Operating profit (contribution less fixed cost)	**154.88**	**0.173**

PLF	Net units (MU)	Variable ₹/kWh	Fixed ₹/kWh	Total ₹/kWh
60.0%	6,546.40	2.602	0.773	3.375
70.0%	7,637.47	2.602	0.662	3.264
80.0%	8,728.53	2.602	0.580	3.181
82.1%	**8,957.66**	**2.602**	**0.565**	**3.167**
85.0%	9,274.07	2.602	0.545	3.147
90.0%	9,819.60	2.602	0.515	3.117

Interpretation: About ₹0.56 of every unit's cost of sales is fixed. Each 10-point rise in PLF spreads that fixed cost over more units: at 90% PLF cost of sales would fall to about ₹3.12 per unit, and at 70% it would rise to about ₹3.26. Finance charges are excluded; including them would add a further fixed ₹0.52 per unit at current PLF.

10. Key findings

- Generation is profitable at the operating level: cost of sales was ₹3.17 per unit against sales of ₹3.34, an operating profit of ₹154.88 Cr (₹0.17 per unit). This is down from ₹338.14 Cr (₹0.40 per unit) in FY 2024-25, and close to break-even if the one-off change-in-law income is excluded.
- Costs moved in the right direction: higher availability and PLF, lower coal cost per unit and lower repairs cut cost of sales by ₹0.28 per unit. The lower margin came from lower realisation, as the energy charge under the PPA is linked to fuel cost.
- Coal is 80% of cost of sales, and the PPA energy charge is linked to fuel cost, so the margin depends on how well the fixed (capacity) charge covers the plant's fixed costs of about ₹0.56 per unit.
- Finance charges of ₹461.41 Cr (₹0.52 per unit) are about three times the operating profit and turn it into a loss of ₹306.53 Cr. ₹331 Cr of this is interest on inter-corporate deposits.
- Reported profit before tax of ₹46.59 Cr depends on ₹391 Cr of other income, mainly late payment surcharge from MSEDCL, rather than on generation.

11. Conclusion

The Amravati plant is operating well: availability, load factor, heat rate and auxiliary consumption all improved in FY 2025-26, and cost of sales per unit fell by ₹0.28. Sales cover the full cost of generation, including depreciation. The PPA tariff is fixed at a levellised ₹3.26 per kWh under competitive bidding with an energy charge linked to fuel cost, so the operating margin is thin and depends on plant performance. What turns the company's result into a loss is its finance cost, and its reported profit rests on late payment surcharge from MSEDCL. The main lever is therefore the balance sheet, supported by high plant utilisation and faster cash collection.

12. Suggestions

- **Reduce finance charges.** Finance charges are ₹461.41 Cr (₹0.52 per unit), of which ₹331.21 Cr is interest on inter-corporate deposits. Refinancing these at a lower rate or repaying them from surplus cash would go straight to profit: every ₹50 Cr saved adds about ₹0.056 per unit.
- **Keep PLF close to 90%.** About ₹0.56 of every unit's cost of sales is fixed. At 90% PLF cost of sales falls to about ₹3.12 per unit, against ₹3.17 today. This depends on MSEDCL scheduling, steady coal supply and avoiding forced outages.
- **Sell spare capacity on the exchange when prices are high.** After auxiliary consumption the plant can send out about 1,246 MW, so only about 46 MW sits outside the 1,200 MW PPA. IEX sales of 22.19 MU in FY 2025-26 realised about ₹7.38 per unit against a variable cost of ₹2.60, so even small volumes add margin. Exchange prices vary widely, so this works best in peak months.
- **Lower coal cost per unit.** Coal is ₹2.52 per unit and 79.6% of cost of sales. A 1% saving through better heat rate, lower transit loss or more rail and less road movement is worth about ₹22.57 Cr a year. Even though the energy charge is linked to fuel cost, a lower cost keeps the plant competitive in MSEDCL's merit order, which decides how much it is scheduled.
- **Cut auxiliary consumption.** Auxiliary consumption is 7.74% of gross generation. Each 0.5 percentage point saved frees about 49 MU for sale with no extra fuel.
- **Recover dues and change-in-law claims.** Late payment surcharge supports reported profit, but it depends on MSEDCL paying late and on regulatory outcomes. Faster recovery of the outstanding claims and dues would strengthen cash flow and could fund the reduction in high-cost borrowings.

13. Assumptions and limitations

- Standalone figures are used; consolidated depreciation and other expenses differ slightly.
- The annual reports do not split coal cost by source or freight, or revenue into capacity and energy charges, so the cost sheet cannot separate them.
- 85% of employees other than KMP are assumed to work at the plant (WN 2). The headcount by location is not disclosed.
- FY 2024-25 IEX sales are reported only as a rounded ₹23 Cr.
- Impairment provision, CSR and finance charges are treated as non-cost items and shown in the profit reconciliation statement.
- The cost sheet is built from published information only and is not a cost audit.

14. Sources

1. Annual reports and investor presentations of RattanIndia Power Limited
2. News articles mentioning the PPA price and dispute

Appendix: Inputs

AR26 = Annual Report FY 2025-26, AR25 = Annual Report FY 2024-25. Page numbers are PDF pages. All figures standalone.

A. Operating data

Particulars	Unit	FY 2025-26	FY 2024-25	Source
Installed capacity (5 x 270 MW)	MW	1,350	1,350	AR26 p.29
Plant Availability Factor (PAF)	%	87.88%	82.12%	AR26 p.28 / AR25 p.32
Plant Load Factor (PLF)	%	82.10%	78.46%	AR26 p.28 / AR25 p.32
Auxiliary consumption	%	7.74%	7.90%	AR26 p.80
Gross station heat rate	kcal/kWh	2,374	2,380	AR26 p.80
Units sold to MSEDCL under PPA	MU	8,935.86	8,516.52	AR26 p.28 / AR25 p.31
Units sold on power exchange (IEX)	MU	22.19	29.46	AR26 p.28 / AR25 p.32
Fuel energy consumed	GJ	9,61,36,699	9,13,68,618	AR26 p.68, BRSR
Electricity consumed (auxiliary power)	GJ	27,02,882	26,38,553	AR26 p.68, BRSR
Energy intensity (GJ per kWh generated)	GJ/kWh	0.0101804	0.0101313	AR26 p.69, BRSR
Water consumed	kl	2,39,98,020	2,31,31,078	AR26 p.69, BRSR

B. Expenses (₹ crore)

Note	Particulars	FY 2025-26	FY 2024-25	Source
28	Coal consumed	2,257.03	2,366.52	AR26 p.232, Note 28. Includes freight and handling (inventory policy, AR26 p.209)
28	Electricity consumed	1.57	1.47	AR26 p.232, Note 28
28	Water consumed	40.96	42.69	AR26 p.232, Note 28
28	Others (fuel oil, chemicals, consumables)	15.05	15.91	AR26 p.232, Note 28
29	Salaries, wages and bonus	64.03	58.73	AR26 p.232, Note 29
29	Contribution to provident and other funds	1.35	1.26	AR26 p.232, Note 29
29	Provision for gratuity and compensated absences	2.77	2.41	AR26 p.232, Note 29
29	Staff welfare expenses	0.95	0.64	AR26 p.232, Note 29
30	Finance costs	461.41	478.76	AR26 p.232, Note 30
31	Depreciation and amortisation	252.26	246.68	AR26 p.233, Note 31
32	Rent	1.82	0.56	AR26 p.233, Note 32
32	Rates and taxes	8.54	7.41	AR26 p.233, Note 32
32	Legal and professional charges	30.34	29.89	AR26 p.233, Note 32
32	Communication	0.52	0.48	AR26 p.233, Note 32
32	Printing and stationery	0.22	0.20	AR26 p.233, Note 32
32	Travelling and conveyance	3.28	3.06	AR26 p.233, Note 32
32	Operation and maintenance expenses	90.81	86.95	AR26 p.233, Note 32
32	Loss on disposal of tangible assets	-	-	AR26 p.233, Note 32
32	Insurance	19.74	13.21	AR26 p.233, Note 32
32	Repairs and maintenance: office	3.42	2.86	AR26 p.233, Note 32
32	Repairs and maintenance: others	0.28	0.23	AR26 p.233, Note 32
32	Repairs and maintenance: plant and machinery	6.30	33.17	AR26 p.233, Note 32
32	Security	7.77	6.98	AR26 p.233, Note 32
32	Bank charges	0.01	0.01	AR26 p.233, Note 32
32	Provision for impairment / balances written off	38.24	36.80	AR26 p.233, Note 32
32	Directors' sitting fees	0.45	0.53	AR26 p.233, Note 32
32	Loss on foreign currency transactions	7.14	0.93	AR26 p.233, Note 32
32	Fly ash disposal	15.97	19.24	AR26 p.233, Note 32

Note	Particulars	FY 2025-26	FY 2024-25	Source
32	Corporate Social Responsibility	0.03	0.06	AR26 p.233, Note 32
32	Miscellaneous expenses	3.90	3.67	AR26 p.233, Note 32
	Total expenses	**3,336.16**	**3,461.31**	**AR26 p.199 (3,336.16 / 3,461.31)**

C. Income (₹ crore)

Note	Particulars	FY 2025-26	FY 2024-25	Source
26	Revenue from operations	2,991.36	3,283.83	AR26 p.199, p.230
26	of which: IEX sales	16.38	23.00	AR26 p.29 / AR25 p.32 (FY25 rounded)
27	Other income	391.39	393.45	AR26 p.231 (mostly late payment surcharge)
	Profit before tax	46.59	215.97	AR26 p.199

D. Employee data

Particulars	Unit	FY 2025-26	FY 2024-25	Source
KMP and director remuneration: short-term benefits	₹ Cr	12.15	10.08	AR26 p.245 (related party note) / AR25 p.246
KMP and director remuneration: post-employment benefits	₹ Cr	0.48	0.83	AR26 p.245 / AR25 p.246
of which: Station Head (whole-time director from 23 Jul 2025) - plant	₹ Cr	0.41	-	AR26 p.91 (₹30.95 L + 7.74 L + 1.89 L). Role: AR25 p.12, p.99. FY25 pay sits in employee cost
Employees other than BoD and KMP: male	No.	423	406	AR26 p.66 / AR25 p.67, BRSR
median remuneration	₹	5,49,996	5,74,385	AR26 p.66 / AR25 p.67, BRSR
Employees other than BoD and KMP: female	No.	23	21	AR26 p.66 / AR25 p.67, BRSR
median remuneration	₹	4,09,839	3,00,000	AR26 p.66 / AR25 p.67, BRSR
Workers: male	No.	81	81	AR26 p.66 / AR25 p.67, BRSR
median wages	₹	2,70,168	2,34,168	AR26 p.66 / AR25 p.67, BRSR
Workers: female	No.	13	13	AR26 p.66 / AR25 p.67, BRSR
median wages	₹	2,63,688	2,21,688	AR26 p.66 / AR25 p.67, BRSR
Share of employees (other than KMP) working at the plant	%	85.00%	85.00%	Assumed. Not disclosed; company has 1 plant and 2 offices (AR26 p.47)

E. Contract and tariff data (reference)

Particulars	Unit	FY 2025-26	FY 2024-25	Source
Capacity contracted with MSEDCL under 25-year PPA	MW	1,200	1,200	AR26 p.26
PPA levellised tariff (competitive bidding, 2010)	₹/kWh	3.26	3.26	Company website; MERC order dated 28.12.2010
MSEDCL variable charge for Amravati, March of the year	₹/kWh	2.3761	2.8976	Mahagenco monthly fuel data, Mar-2026 and Mar-2025
Coal linkage under Fuel Supply Agreement with SECL	MTPA	6.10	6.10	AR26 p.26
Water allocation from Upper Wardha Dam	Mn m^3	60	60	AR26 p.26
Land leased from MIDC	Acres	1,350	1,350	AR26 p.26